

The word **Supplier** means a person or business that sells the goods, materials or services that another business needs. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Recognising a Responsible Organisation is what signs that a business is acting responsibly changes in an ordinary business decision.

The answer begins with the definition: Signs that a business is acting responsibly. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Recognising a Responsible Organisation.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Recognising a Responsible Organisation.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Recognising a Responsible Organisation.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Recognising a Responsible Organisation.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Recognising a Responsible Organisation.

Case file, illustrative. Carried forward. In 2019 Meghna and Sons had average monthly sales of Tk 190,000, so annual sales were Tk 2,280,000 (190,000 x 12). The helper, Mahbub, earned Tk 8,000 a month and received a festival bonus of one month's wage at each of two festivals, Tk 16,000 in the year (8,000 x 2). The shop paid its main supplier, a publisher called Alo Prokashoni (illustrative), within the agreed 45 days; the invoice of Tk 84,000 dated 1 June 2019 was paid on 15 July 2019, on day 44. On 1 March 2019 Rafiq Uddin Mia borrowed Tk 60,000 from a bank at 10% a year, so yearly interest was Tk 6,000. On 10 December 2019 the shop gave 1% of the year's sales, Tk 22,800 (2,280,000 x 1/100), to the library of a primary school. The shop has no outside investor; the bank is its only lender.

* * *

Supplier. a person or business that sells the goods, materials or services that another business needs

The definition gives the boundary of supplier before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

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The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

AN ELEMENTARY INTRODUCTION TO BUSINESS



KUTUSH KUMAR, KUTUM PAKHI

the rule. This is the point to carry into the next example in Meaning and Importance of Responsibility.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Meaning and Importance of Responsibility.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Meaning and Importance of Responsibility.

Case file, illustrative. Carried forward. In 2019 Meghna and Sons had average monthly sales of Tk 190,000, so annual sales were Tk 2,280,000 (190,000 x 12). The helper, Mahbub, earned Tk 8,000 a month and received a festival bonus of one month's wage at each of two festivals, Tk 16,000 in the year (8,000 x 2). The shop paid its main supplier, a publisher called Alo Prokashoni (illustrative), within the agreed 45 days; the invoice of Tk 84,000 dated 1 June 2019 was paid on 15 July 2019, on day 44. On 1 March 2019 Rafiq Uddin Mia borrowed Tk 60,000 from a bank at 10% a year, so yearly interest was Tk 6,000. On 10 December 2019 the shop gave 1% of the year's sales, Tk 22,800 (2,280,000 x 1/100), to the library of a primary school. The shop has no outside investor; the bank is its only lender.

* * *

Before moving on. Meaning and Importance of Responsibility can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

3.2 RESPONSIBILITY TO SOCIETY, SUPPLIERS AND INVESTORS

Suppose you are looking at a business that must make a decision about responsibility to society, suppliers and investors. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Stakeholder** means any person or group affected by a business or able to affect it, such as customers or neighbours. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Business ethics** means the standards of right and wrong that guide how a business treats people and makes decisions. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Responsibility to Society, Suppliers and Investors is what duties to society, suppliers and investors changes in an ordinary business decision.

Responsibility to Society, Suppliers and Investors begins with a concrete question before the rule is stated.

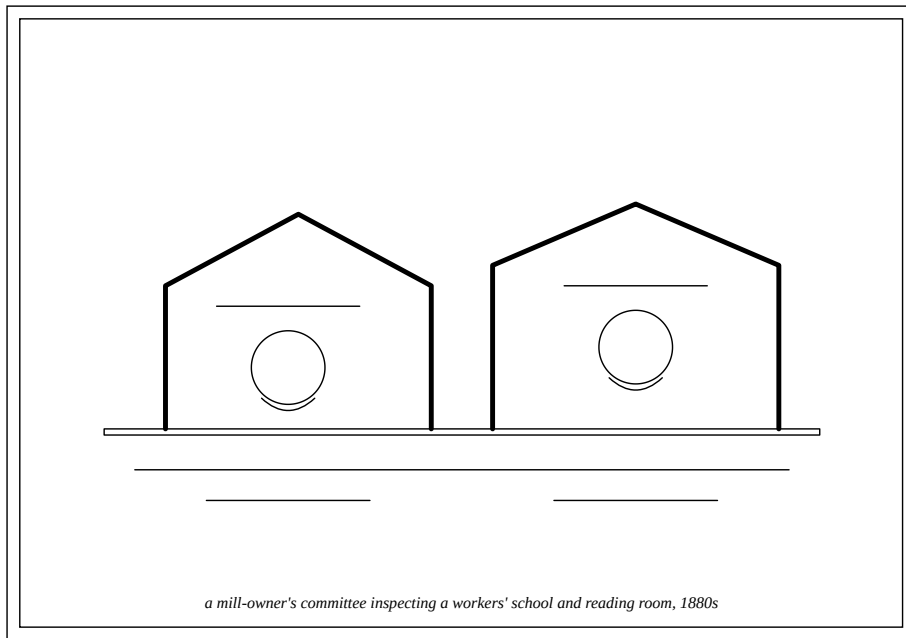
Stakeholder. any person or group affected by a business or able to affect it, such as customers or neighbours

The definition gives the boundary of stakeholder before the example is applied.

Business ethics. the standards of right and wrong that guide how a business treats people and makes decisions

The definition gives the boundary of business ethics before the example is applied.

The paragraph connects the idea to a practical business question.



CHAPTER III

Social Responsibility of Business

How does the business idea become a workable decision?



Explain why a business owes duties beyond profit, to whom it owes them, and how a reader can recognise a responsible business. The chapter builds the idea from ordinary experience to business practice.

2 January 2017 the education board changed the prescribed textbooks for three school classes, leaving 60 titles unsellable; average monthly sales were Tk 200,000 in 2017 and Tk 170,000 in 2018, a fall of 15% after an online bookstore began delivering in Dhaka; from March 2019 the helper delivered orders by bicycle for Tk 30 an order.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

2.T1 name the four factors and the reward each one earns

2.T2 list the forces that shape a location and say which matter most for a shop and which for a factory

2.T3 separate a business's internal from its external environment, with an example of each

2.T4 explain how a business can respond to a change it cannot control

2.T5 a bakery can rent a roadside plot at Tk 18,000 a month with 2,400 daily passers-by, or an inner lane plot at Tk 7,000 with 500, and has Tk 120,000 to start, so compare rent per 100 passers-by and decide

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

Tata Iron and Steel Company, 1907: the search for a site with ore, coal and water that ended at Sakchi, later Jamshedpur, India. Search hint: Tata Steel Sakchi site selection 1907 Jamshedpur.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

2.R1 name the four factors and the reward each one earns

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

The review questions return to the same ideas in a direct form.

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Before moving on. Choosing a Location can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The section recap gathers the main point before the next section.

2.3 THE BUSINESS ENVIRONMENT

Suppose you are looking at a business that must make a decision about the business environment. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Labour** means the physical and mental effort that people give to producing goods or services. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The Business Environment begins with a concrete question before the rule is stated.

The word **Location** means the place where a business carries out its work, chosen from the available sites. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Labour. the physical and mental effort that people give to producing goods or services

The definition gives the boundary of labour before the example is applied.

Location. the place where a business carries out its work, chosen from the available sites

The definition gives the boundary of location before the example is applied.

The word **Internal environment** means the parts of the environment that the business controls: owners, managers, employees, methods and resources. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Internal environment. the parts of the environment that the business controls: owners, managers, employees, methods and resources

The definition gives the boundary of internal environment before the example is applied.

The useful question in The Business Environment is what internal and external environment, and how a business and its surroundings affect each other changes in an ordinary business decision.

The paragraph connects the idea to a practical business question.

The answer begins with the definition: Internal and external environment, and how a business and its surroundings affect each other. This gives the idea a boundary, so it can be distinguished from nearby ideas.

The paragraph connects the idea to a practical business question.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The paragraph connects the idea to a practical business question.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in The Business Environment.

The section keeps the distinction practical and testable.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Business Environment.

The section keeps the distinction practical and testable.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Business Environment.

The section keeps the distinction practical and testable.

meaning. This is the point to carry into the next example in The Factors of Production.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Factors of Production.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Factors of Production.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Factors of Production.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Factors of Production.

Case file, illustrative. Carried forward. Meghna and Sons opened on 4 January 2015 with start-up money of Tk 158,000 and monthly shop rent of Tk 9,000. Factors in the shop: land is the rented room (rent Tk 9,000 a month, advance paid to the landlord Tk 30,000); labour is Rafiq Uddin Mia and one helper, Mahbub, employed from 1 February 2015 at Tk 6,000 a month; capital is the Tk 158,000; Rafiq acts as entrepreneur. Location choice made in December 2014, three sites compared: Site A near a college: rent Tk 9,000, advance Tk 30,000, about 1,200 passers-by a day; Site B in a wholesale lane: rent Tk 14,000, advance Tk 56,000, about 2,000 passers-by a day; Site C in a residential lane: rent Tk 5,000, advance Tk 15,000, about 300 passers-by a day. Rent per 100 daily passers-by: Site A Tk 750, Site B Tk 700, Site C Tk 1,667 (to the nearest taka). Rafiq chose Site A because Site B's advance of Tk 56,000 was more than a third of his Tk 158,000 and its rent was Tk 5,000 higher. Environment events: on 2 January 2017 the education board changed the prescribed textbooks for three school classes, leaving 60 titles unsellable; average monthly sales were Tk 200,000 in 2017 and Tk 170,000 in 2018, a fall of 15% after an online bookstore began delivering in Dhaka; from March 2019 the helper delivered orders by bicycle for Tk 30 an order.

* * *

Before moving on. The Factors of Production can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

2.2 CHOOSING A LOCATION

Suppose you are looking at a business that must make a decision about choosing a location. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved,

The section keeps the distinction practical and testable.

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The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Choosing a Location begins with a concrete question before the rule is stated.

Earlier ideas needed for this chapter are named before they are used.

Needs, Wants and Exchange begins with a concrete question before the rule is stated.

Need. something a person must have to live safely and in health, such as food, water, shelter and basic care

The definition gives the boundary of need before the example is applied.

Service. useful work done for another person that leaves nothing physical behind, such as teaching, carrying or repairing

The definition gives the boundary of service before the example is applied.

Trade. the buying and selling of goods, either to make a profit or to supply what others want

The definition gives the boundary of trade before the example is applied.

The paragraph connects the idea to a practical business question.

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You will need: nothing

1.1 NEEDS, WANTS AND EXCHANGE

Suppose you are looking at a business that must make a decision about needs, wants and exchange. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Need** means something a person must have to live safely and in health, such as food, water, shelter and basic care. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Service** means useful work done for another person that leaves nothing physical behind, such as teaching, carrying or repairing. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Trade** means the buying and selling of goods, either to make a profit or to supply what others want. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Needs, Wants and Exchange is what needs and wants, and why people must choose changes in an ordinary business decision.

The answer begins with the definition: Needs and wants, and why people must choose. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Needs, Wants and Exchange is what exchange, and why people let others make things for them changes in an ordinary business decision.

The answer begins with the definition: Exchange, and why people let others make things for them. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Needs, Wants and Exchange.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and

Commerce. all the activities that help goods move from maker to user, including trade and the services that support it

The definition gives the boundary of commerce before the example is applied.

The paragraph connects the idea to a practical business question.

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The section recap gathers the main point before the next section.

The word **Commerce** means all the activities that help goods move from maker to user, including trade and the services that support it. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in What a Business Is is what business as the supply of goods and services for profit changes in an ordinary business decision.

The answer begins with the definition: Business as the supply of goods and services for profit. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in What a Business Is is what profit and risk changes in an ordinary business decision.

The answer begins with the definition: Profit and risk. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in What a Business Is.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in What a Business Is.

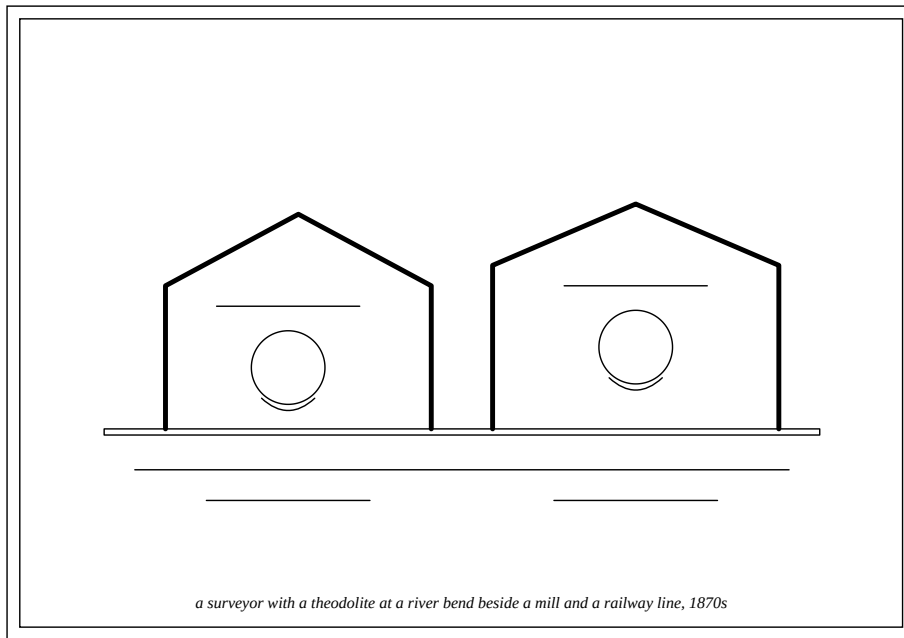
The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in What a Business Is.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in What a Business Is.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in What a Business Is.

* * *

Before moving on. What a Business Is can be understood by asking what the term means, how it changes a decision, and where the rule has limits.



CHAPTER II

Resources, Location and Environment

How does the business idea become a workable decision?



Teach the resources every business draws on, how a business chooses where to operate, and how the world around it shapes what it can do. The chapter builds the idea from ordinary experience to business practice.

1.R5 a tea stall owner could earn more by selling only cold drinks, yet her neighbours rely on hot tea, so weigh profit against service and decide

PAUSE AND CHECK 1.P1 after the passage on needs and wants, and after the passage separating trade, commerce and industry

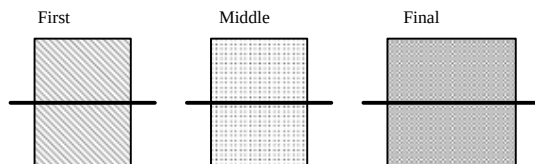


FIG. 1.1. the chain from maker to trader to customer, with the helping services (transport, storage, banking, insurance, advertising) drawn beside it

The chapter points to: Chapter 2, 'Resources, Location and Environment', section 2.1 'The Factors of Production' — the resources that every business uses to make or sell; Chapter 12, 'Institutions and Business Combination', section 12.1 'Institutions That Promote Business' — bodies that support trade and industry. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

Cross-references connect this chapter to related ideas elsewhere in the book.

do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Trade, Commerce and Industry.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Trade, Commerce and Industry.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Trade, Commerce and Industry.

* * *

Before moving on. Trade, Commerce and Industry can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

1.4 FEATURES, FUNCTIONS AND AIMS OF BUSINESS

Suppose you are looking at a business that must make a decision about features, functions and aims of business. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Good** means a physical item that can be touched and owned, such as a book, a chair or a bag of rice. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Risk** means the chance that a business will earn less than it hoped, or lose money, because the future is uncertain. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Features, Functions and Aims of Business is what scope, features, functions and aims of business, and the conditions that help it succeed changes in an ordinary business decision.

The answer begins with the definition: Scope, features, functions and aims of business, and the conditions that help it succeed. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Features, Functions and Aims of Business.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Features, Functions and Aims of Business begins with a concrete question before the rule is stated.

Good. a physical item that can be touched and owned, such as a book, a chair or a bag of rice

The definition gives the boundary of good before the example is applied.

Risk. the chance that a business will earn less than it hoped, or lose money, because the future is uncertain

The definition gives the boundary of risk before the example is applied.

The paragraph connects the idea to a practical business question.

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and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Idea and Principles of Cooperation.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Idea and Principles of Cooperation.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Idea and Principles of Cooperation.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Idea and Principles of Cooperation.

Case file, illustrative. Case in this chapter is a members' purchasing society, an illustrative arrangement (membership rules differ by society and by law). On 3 February 2025 Meghna and Sons Limited joined the Dhaka Booksellers' Purchasing Society as one of 40 member shops. Each member holds one share of Tk 5,000, so share capital is Tk 200,000 (40 x 5,000). Each member has one vote. For the year ended 31 December 2025 the members bought books worth Tk 3,000,000 through the society. The society's surplus after costs was Tk 150,000. The general meeting voted to return 80% of the surplus to members as a patronage refund, Tk 120,000 (150,000 x 80/100), and to keep 20%, Tk 30,000, as a reserve. Meghna and Sons Limited bought books worth Tk 240,000 through the society, which is 8% of the total (240,000 / 3,000,000), so its refund was Tk 9,600 (120,000 x 8/100).

* * *

Before moving on. The Idea and Principles of Cooperation can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

7.2 TYPES AND OPERATION OF COOPERATIVES

Suppose you are looking at a business that must make a decision about types and operation of cooperatives. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Open membership** means the rule that anyone who meets the society's basic conditions may join, with no unfair barrier. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Types and Operation of Cooperatives begins with a concrete question before the rule is stated.

Open membership. the rule that anyone who meets the society's basic conditions may join, with no unfair barrier

The definition gives the boundary of open membership before the example is applied.

The section recap gathers the main point before the next section.

The rule becomes more useful when the surrounding conditions are made explicit.

A second test is to ask what the idea does not include.

The principle can also be viewed from different positions.

A final application should return to the evidence.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

Before moving on. Recognising a Responsible Organisation can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

A business decision is affected by the setting in which it is made. The same form of ownership, resource choice, responsibility, or market arrangement can have different consequences when the people, law, money, or purpose changes. The reader should therefore state the relevant conditions before applying the rule. This is not an extra complication; it is part of using the definition accurately.

Definitions are useful because they separate one idea from another. A supplier is not the same as an investor, a shareholder is not the same as a manager, and a business decision is not the same as its eventual result. When two terms appear together, ask what question each term answers. That question often reveals the boundary more quickly than memorising a longer description.

An owner may focus on control and risk. A manager may focus on workable procedures. An employee may focus on duties and conditions. A customer may focus on price, quality, and service. These viewpoints do not change the definition of a term. They help the reader see why the same business arrangement can matter to several groups at once.

Before accepting a conclusion, identify the figures, dates, people, and decisions that support it. Then separate those facts from assumptions. If the evidence is incomplete, the conclusion should remain limited to what the evidence supports. This habit is especially important when a business case crosses different forms of ownership, institutions, countries, or periods.

WORKED CASE

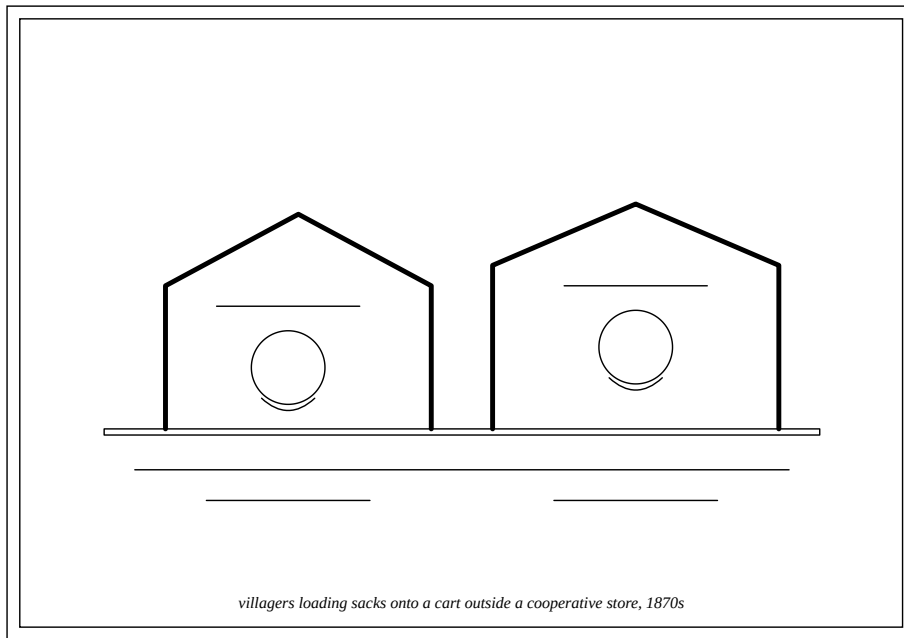
Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. In 2019 Meghna and Sons had average monthly sales of Tk 190,000, so annual sales were Tk 2,280,000 (190,000 x 12). The helper, Mahbub, earned Tk 8,000 a month and received a festival bonus of one month's wage at each of two festivals, Tk 16,000 in the year (8,000 x 2). The shop paid its main supplier, a publisher called Alo Prokashoni (illustrative), within the agreed 45 days; the invoice of Tk 84,000 dated 1 June 2019 was paid on 15 July 2019, on day 44. On 1 March 2019 Rafiq Uddin Mia borrowed Tk 60,000 from a bank at 10% a year, so yearly interest was Tk 6,000. On 10 December 2019 the shop gave 1% of the year's sales, Tk 22,800 (2,280,000 x 1/100), to the library of a primary school. The shop has no outside investor; the bank is its only lender.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same



CHAPTER VII

Cooperative Societies

How does the business idea become a workable decision?



Teach what a cooperative society is, the principles it follows, the kinds found in Bangladesh, how it operates, and where it helps and falls short. The chapter builds the idea from ordinary experience to business practice.

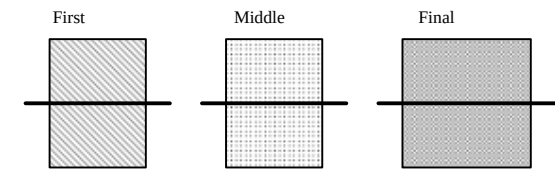


FIG. 3.1. a business in the middle with arrows to customers, employees, suppliers, lenders, owners and the community, each arrow labelled with the duty owed

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 2, 'Resources, Location and Environment', section 2.3 'The Business Environment' — the society and the economy as outside forces; Chapter 4, 'Ways to Own a Business, and the Sole Proprietor', section 4.1 'Why the Form of Ownership Matters' — who answers for the business. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

SOURCES

REVIEW QUESTIONS

- 6.R1 define company and explain why it counts as a separate person
- 6.R2 compare private and public companies on members, shares and the public offer
- 6.R3 list the documents needed to form a company and say what each contains
- 6.R4 state two merits and two demerits of the form
- 6.R5 a company has 50,000 shares of Tk 10, earns Tk 80,000 profit and keeps half, so work out the dividend per share and the sum each holder of 5,000 shares receives
- PAUSE AND CHECK 6.P1** after limited liability for shareholders, and after the memorandum and the articles

These sources support the historical or defining material used in the chapter.

The review questions return to the same ideas in a direct form.

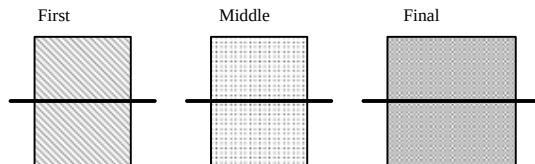


FIG. 6.1. the chain from shareholders to board of directors to managers, with arrows showing who elects and who reports

Earlier ideas needed for this chapter are named before they are used.

Why the Form of Ownership Matters begins with a concrete question before the rule is stated.

Liability. the duty to pay what the business owes, whether to a supplier, a lender or an employee
The definition gives the boundary of liability before the example is applied.

Legal person. an organisation that the law treats as separate from its owners, able to own property and make contracts

The definition gives the boundary of legal person before the example is applied.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 1, 'What Business Is, Does and Aims For', section 1.2 'What a Business Is'; Chapter 3, 'Social Responsibility of Business', section 3.2 'Responsibility to Society, Suppliers and Investors'

4.1 WHY THE FORM OF OWNERSHIP MATTERS

Suppose you are looking at a business that must make a decision about why the form of ownership matters. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Liability** means the duty to pay what the business owes, whether to a supplier, a lender or an employee. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Legal person** means an organisation that the law treats as separate from its owners, able to own property and make contracts. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Why the Form of Ownership Matters is what liability, unlimited and limited, and who bears a business's losses changes in an ordinary business decision.

The answer begins with the definition: Liability, unlimited and limited, and who bears a business's losses. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Why the Form of Ownership Matters is what the main forms of ownership and the legal person changes in an ordinary business decision.

The answer begins with the definition: The main forms of ownership and the legal person. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Why the Form of Ownership Matters.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Why the Form of Ownership Matters.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into

business meaning. This is the point to carry into the next example in Merits and Demerits.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Merits and Demerits.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Merits and Demerits.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Merits and Demerits.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Merits and Demerits.

Case file, illustrative. Carried forward. On 31 March 2024 the partners' capital was Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Soheli Tk 300,000 (Chapter 5). On 1 April 2024 the partners ended the partnership and formed Meghna and Sons Limited, a private company. Authorised capital Tk 2,000,000, divided into 200,000 shares of Tk 10 each. Shares issued 120,000 (120,000 x 10 = Tk 1,200,000): Rafiq 60,000, Imran 30,000, Soheli 30,000. Unissued shares 80,000 (Tk 800,000). Certificate of incorporation dated 15 April 2024. Directors: Rafiq (chairman), Imran (managing director), Soheli. For the year ended 31 March 2025 profit after all costs was Tk 540,000; the board proposed a dividend of Tk 2 a share, Tk 240,000 in all (120,000 x 2): Rafiq Tk 120,000, Imran Tk 60,000, Soheli Tk 60,000; the remaining Tk 300,000 was kept in the business. As a private company the business issued no prospectus.

* * *

Before moving on. Merits and Demerits can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. On 31 March 2024 the partners' capital was Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Soheli Tk 300,000 (Chapter 5). On 1 April 2024 the partners ended the partnership and formed Meghna and Sons Limited, a private company. Authorised capital Tk 2,000,000, divided into 200,000 shares of Tk 10 each. Shares issued 120,000 (120,000 x 10 = Tk 1,200,000): Rafiq 60,000, Imran 30,000, Soheli 30,000. Unissued shares 80,000 (Tk 800,000). Certificate of incorporation dated 15 April 2024. Directors: Rafiq (chairman), Imran (managing director), Soheli. For the year

The section keeps the distinction practical and testable.

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The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The paragraph connects the idea to a practical business question.

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The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Comparing the Forms begins with a concrete question before the rule is stated.

The answer begins with the definition: Sole proprietorship: meaning, features, strengths, limits and suitable fields. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Sole Proprietorship is what formation of a sole proprietorship and why it survives beside large businesses changes in an ordinary business decision.

The answer begins with the definition: Formation of a sole proprietorship and why it survives beside large businesses. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Sole Proprietorship.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Sole Proprietorship.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Sole Proprietorship.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Sole Proprietorship.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Sole Proprietorship.

* * *

Before moving on. Sole Proprietorship can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

4.3 COMPARING THE FORMS

Suppose you are looking at a business that must make a decision about comparing the forms. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

Before moving on. Private and Public Companies can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

6.3 FORMING A COMPANY AND ISSUING A PROSPECTUS

Suppose you are looking at a business that must make a decision about forming a company and issuing a prospectus. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Shareholder** means a person or organisation that owns one or more shares in a company. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Public company** means a company that may invite the public to buy its shares and whose shares can be freely traded. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Certificate of incorporation** means the official paper that proves the company legally exists as a separate person. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Forming a Company and Issuing a Prospectus is what steps of formation: the memorandum, the articles, incorporation, the prospectus and starting trade changes in an ordinary business decision.

The answer begins with the definition: Steps of formation: the memorandum, the articles, incorporation, the prospectus and starting trade. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

The section recap gathers the main point before the next section.

Forming a Company and Issuing a Prospectus begins with a concrete question before the rule is stated.

Shareholder. a person or organisation that owns one or more shares in a company

The definition gives the boundary of shareholder before the example is applied.

Public company. a company that may invite the public to buy its shares and whose shares can be freely traded

The definition gives the boundary of public company before the example is applied.

Certificate of incorporation. the official paper that proves the company legally exists as a separate person

The definition gives the boundary of certificate of incorporation before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

Position on 31 December 2020: assets Tk 380,000; debts Tk 430,000 (owed to suppliers Tk 370,000 and to the bank Tk 60,000); debts exceeded assets by Tk 50,000 (430,000 - 380,000). On 15 January 2021 Rafiq paid the Tk 50,000 shortfall from his personal savings. The shop's trade licence (illustrative number TL-2015-0417) was issued on 20 December 2014 and has been renewed each year.

* * *

Before moving on. Comparing the Forms can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

A business decision is affected by the setting in which it is made. The same form of ownership, resource choice, responsibility, or market arrangement can have different consequences when the people, law, money, or purpose changes. The reader should therefore state the relevant conditions before applying the rule. This is not an extra complication; it is part of using the definition accurately.

Definitions are useful because they separate one idea from another. A supplier is not the same as an investor, a shareholder is not the same as a manager, and a business decision is not the same as its eventual result. When two terms appear together, ask what question each term answers. That question often reveals the boundary more quickly than memorising a longer description.

An owner may focus on control and risk. A manager may focus on workable procedures. An employee may focus on duties and conditions. A customer may focus on price, quality, and service. These viewpoints do not change the definition of a term. They help the reader see why the same business arrangement can matter to several groups at once.

Before accepting a conclusion, identify the figures, dates, people, and decisions that support it. Then separate those facts from assumptions. If the evidence is incomplete, the conclusion should remain limited to what the evidence supports. This habit is especially important when a business case crosses different forms of ownership, institutions, countries, or periods.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. Meghna and Sons is a sole proprietorship owned by Rafiq Uddin Mia, with a bank loan of Tk 60,000 taken on 1 March 2019. Position on 31 December 2019: assets Tk 400,000 (stock Tk 310,000 and other assets Tk 90,000); debts Tk 180,000 (owed to suppliers Tk 120,000 and to the bank Tk 60,000); the owner's own stake was therefore Tk 220,000 (400,000 - 180,000). The shop was closed for nine weeks in 2020. Position on 31 December 2020: assets Tk 380,000; debts Tk 430,000 (owed to suppliers Tk 370,000 and to the bank Tk 60,000); debts exceeded assets by Tk 50,000 (430,000 - 380,000). On 15 January 2021 Rafiq paid the Tk 50,000 shortfall from his personal savings. The shop's trade licence (illustrative number TL-2015-0417) was issued on 20 December 2014 and has been renewed each year.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded

The section recap gathers the main point before the next section.

The rule becomes more useful when the surrounding conditions are made explicit.

A second test is to ask what the idea does not include.

The principle can also be viewed from different positions.

A final application should return to the evidence.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Company and Its Shares.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Company and Its Shares.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Company and Its Shares.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Company and Its Shares.

Case file, illustrative. Carried forward. On 31 March 2024 the partners' capital was Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Sohel Tk 300,000 (Chapter 5). On 1 April 2024 the partners ended the partnership and formed Meghna and Sons Limited, a private company. Authorised capital Tk 2,000,000, divided into 200,000 shares of Tk 10 each. Shares issued 120,000 (120,000 x 10 = Tk 1,200,000): Rafiq 60,000, Imran 30,000, Sohel 30,000. Unissued shares 80,000 (Tk 800,000). Certificate of incorporation dated 15 April 2024. Directors: Rafiq (chairman), Imran (managing director), Sohel. For the year ended 31 March 2025 profit after all costs was Tk 540,000; the board proposed a dividend of Tk 2 a share, Tk 240,000 in all (120,000 x 2): Rafiq Tk 120,000, Imran Tk 60,000, Sohel Tk 60,000; the remaining Tk 300,000 was kept in the business. As a private company the business issued no prospectus.

* * *

Before moving on. The Company and Its Shares can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

6.2 PRIVATE AND PUBLIC COMPANIES

Suppose you are looking at a business that must make a decision about private and public companies. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Share** means one equal part of a company's capital, which gives its holder a part of ownership. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Private and Public Companies begins with a concrete question before the rule is stated.

Share. one equal part of a company's capital, which gives its holder a part of ownership

The definition gives the boundary of share before the example is applied.

PAUSE AND CHECK 4.P1 after the definition of unlimited liability, and after the passage on the legal person

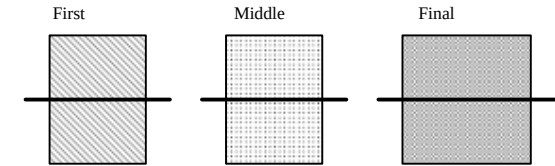


FIG. 4.1. two balance-style drawings of one business whose debts exceed its assets, one showing the shortfall falling on the owner's home and savings, the other stopping at the business

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 3, 'Social Responsibility of Business', section 3.2 'Responsibility to Society, Suppliers and Investors' — the lender and supplier whose claims the owner must meet; Chapter 5, 'Partnership', section 5.1 'The Idea and Types of Partnership' — what changes when two or more people share the business. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

Earlier ideas needed for this chapter are named before they are used.

The Idea and Types of Partnership begins with a concrete question before the rule is stated.

Partnership. a business owned by two or more people who agree to run it together and share its profit
The definition gives the boundary of partnership before the example is applied.

Partnership at will. a partnership with no fixed end date, which any partner can end by giving notice
The definition gives the boundary of partnership at will before the example is applied.

Nominal partner. a person who lends their name to the business and takes no share, yet may still be answerable to outsiders

The definition gives the boundary of nominal partner before the example is applied.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 4, 'Ways to Own a Business, and the Sole Proprietor', sections 4.1 'Why the Form of Ownership Matters' and 4.2 'Sole Proprietorship'

5.1 THE IDEA AND TYPES OF PARTNERSHIP

Suppose you are looking at a business that must make a decision about the idea and types of partnership. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Partnership** means a business owned by two or more people who agree to run it together and share its profit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Partnership at will** means a partnership with no fixed end date, which any partner can end by giving notice. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Nominal partner** means a person who lends their name to the business and takes no share, yet may still be answerable to outsiders. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in The Idea and Types of Partnership is what partnership, the partnership deed and the base on which it rests changes in an ordinary business decision.

The answer begins with the definition: Partnership, the partnership deed and the base on which it rests. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

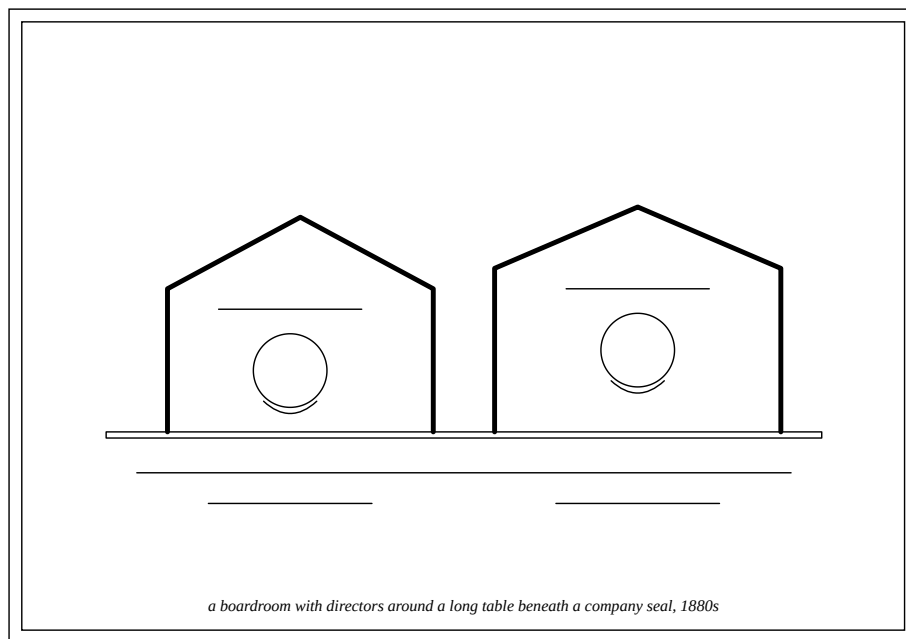
The useful question in The Idea and Types of Partnership is what kinds of partnership: by purpose and length, and by liability changes in an ordinary business decision.

The answer begins with the definition: Kinds of partnership: by purpose and length, and by liability. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in The Idea and Types of Partnership.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue.



CHAPTER VI

Joint Stock Company

How does the business idea become a workable decision?



Teach the company as a separate legal person owned through shares, how private and public companies differ, how one is formed, and its merits and demerits. The chapter builds the idea from ordinary experience to business practice.

Imran Tk 200,000, total Tk 600,000. Profit and loss are shared 2 : 1, the ratio of capital (400,000 : 200,000); both partners work full time. Profit for the year ended 30 June 2022 was Tk 360,000: Rafiq Tk 240,000 (360,000 x 2/3) and Imran Tk 120,000 (360,000 x 1/3). On 1 January 2023 Rafiq's second son Sohel joined as a sleeping partner with capital of Tk 200,000, taking total capital to Tk 800,000; profit is now shared 2 : 1 : 1. Profit for the year ended 31 December 2023 was Tk 480,000: Rafiq Tk 240,000 (480,000 x 2/4), Imran Tk 120,000 (480,000 x 1/4), Sohel Tk 120,000 (480,000 x 1/4). On 31 March 2024 the partners' capital, including profit left in the business, stood at Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Sohel Tk 300,000.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

- 5.T1 define partnership and name the base it rests on
- 5.T2 compare active, sleeping and nominal partners
- 5.T3 state three duties partners owe each other
- 5.T4 list the ways a partnership can end
- 5.T5 three partners put in Tk 300,000, Tk 200,000 and Tk 100,000 and earn Tk 180,000, so share the profit by capital and say what changes if the deed fixes equal shares

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

The partnership of Michael Marks and Thomas Spencer, formed in 1894 in Leeds, England, which grew into the retailer Marks and Spencer. Search hint: Marks and Spencer 1894 partnership Thomas Spencer.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

Active partner. a partner who takes a full part in running the business day to day

The definition gives the boundary of active partner before the example is applied.

Dissolution. the ending of the partnership between the partners, or of the whole business, with its affairs settled

The definition gives the boundary of dissolution before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The word **Active partner** means a partner who takes a full part in running the business day to day. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Dissolution** means the ending of the partnership between the partners, or of the whole business, with its affairs settled. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Types of Partners and Their Duties is what active, sleeping and nominal partners, and the duties implied between partners changes in an ordinary business decision.

The answer begins with the definition: Active, sleeping and nominal partners, and the duties implied between partners. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Types of Partners and Their Duties is what how profit and loss are shared when the deed is silent or specific changes in an ordinary business decision.

The answer begins with the definition: How profit and loss are shared when the deed is silent or specific. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Types of Partners and Their Duties.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Types of Partners and Their Duties.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Types of Partners and Their Duties.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Types of Partners and Their Duties.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects.

Patronage refund. a share of the surplus paid to members in proportion to the business they did with the society

The definition gives the boundary of patronage refund before the example is applied.

Consumer cooperative. a society that buys goods in bulk and sells them to members at fair prices

The definition gives the boundary of consumer cooperative before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The word **Patronage refund** means a share of the surplus paid to members in proportion to the business they did with the society. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Consumer cooperative** means a society that buys goods in bulk and sells them to members at fair prices. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Types and Operation of Cooperatives is what kinds of cooperative found in Bangladesh, including those that help farmers market their crops changes in an ordinary business decision.

The answer begins with the definition: Kinds of cooperative found in Bangladesh, including those that help farmers market their crops. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Types and Operation of Cooperatives is what how a society is formed, financed, governed and shares its surplus changes in an ordinary business decision.

The answer begins with the definition: How a society is formed, financed, governed and shares its surplus. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

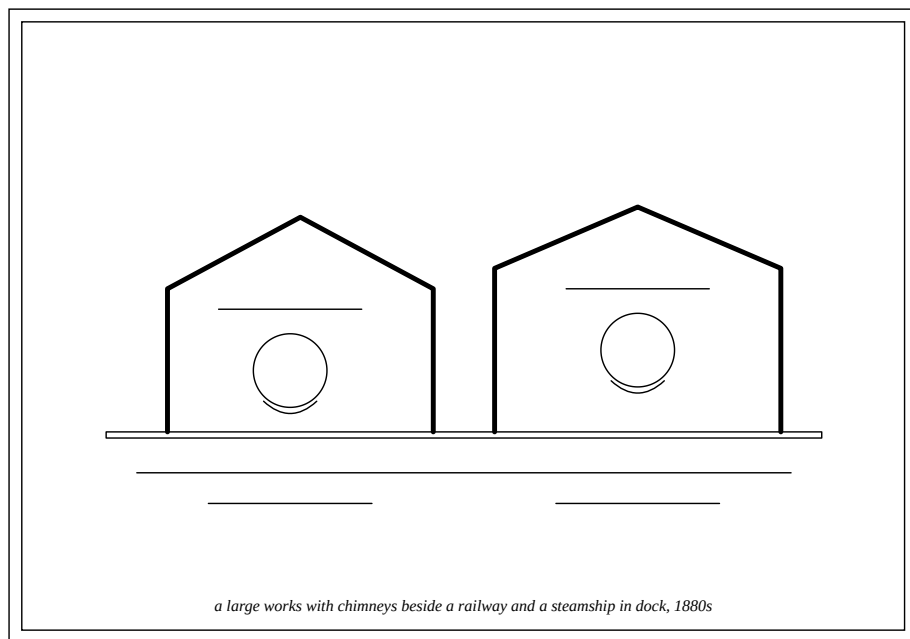
A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Types and Operation of Cooperatives.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Types and Operation of Cooperatives.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Types and Operation of Cooperatives.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Types and Operation of Cooperatives.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This



CHAPTER XI

Multinational Corporations

How does the business idea become a workable decision?



Teach what a multinational corporation is, why firms become multinational, the three groups of staff such firms use, and the gains and problems for the countries that host them. The chapter builds the idea from ordinary experience to business practice.

10.T6 a country has a deficit in goods but earns much from workers abroad, so say what the balance of payments might show and why

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

David Ricardo's example of cloth and wine traded between England and Portugal in *On the Principles of Political Economy and Taxation*, 1817. Search hint: Ricardo 1817 comparative advantage wine cloth Portugal.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

SOURCES

REVIEW QUESTIONS

10.R1 explain comparative advantage with a pair of goods of your own

10.R2 separate visible from invisible trade with two examples of each

10.R3 list the steps of an export in order

10.R4 name five documents used in foreign trade and say what each does

10.R5 a country sells goods worth 48 billion and buys goods worth 61 billion, so find the balance of trade and say if it is a surplus or deficit

10.R6 a country has a deficit in goods but earns much from workers abroad, so say what the balance of payments might show and why

PAUSE AND CHECK 10.P1 after comparative advantage, and after the worked deficit

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

These sources support the historical or defining material used in the chapter.

The review questions return to the same ideas in a direct form.

the rule. This is the point to carry into the next example in Importance and Limits.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Importance and Limits.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Importance and Limits.

Case file, illustrative. Case in this chapter is a members' purchasing society, an illustrative arrangement (membership rules differ by society and by law). On 3 February 2025 Meghna and Sons Limited joined the Dhaka Booksellers' Purchasing Society as one of 40 member shops. Each member holds one share of Tk 5,000, so share capital is Tk 200,000 (40 x 5,000). Each member has one vote. For the year ended 31 December 2025 the members bought books worth Tk 3,000,000 through the society. The society's surplus after costs was Tk 150,000. The general meeting voted to return 80% of the surplus to members as a patronage refund, Tk 120,000 (150,000 x 80/100), and to keep 20%, Tk 30,000, as a reserve. Meghna and Sons Limited bought books worth Tk 240,000 through the society, which is 8% of the total (240,000 / 3,000,000), so its refund was Tk 9,600 (120,000 x 8/100).

* * *

Before moving on. Importance and Limits can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Case in this chapter is a members' purchasing society, an illustrative arrangement (membership rules differ by society and by law). On 3 February 2025 Meghna and Sons Limited joined the Dhaka Booksellers' Purchasing Society as one of 40 member shops. Each member holds one share of Tk 5,000, so share capital is Tk 200,000 (40 x 5,000). Each member has one vote. For the year ended 31 December 2025 the members bought books worth Tk 3,000,000 through the society. The society's surplus after costs was Tk 150,000. The general meeting voted to return 80% of the surplus to members as a patronage refund, Tk 120,000 (150,000 x 80/100), and to keep 20%, Tk 30,000, as a reserve. Meghna and Sons Limited bought books worth Tk 240,000 through the society, which is 8% of the total (240,000 / 3,000,000), so its refund was Tk 9,600 (120,000 x 8/100).

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

The word **Customs duty** means a tax charged on goods when they cross a national border. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Barriers to Export Trade is what barriers to export trade in Bangladesh, and tariff and non-tariff barriers changes in an ordinary business decision.

The answer begins with the definition: Barriers to export trade in Bangladesh, and tariff and non-tariff barriers. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Barriers to Export Trade.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Barriers to Export Trade.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Barriers to Export Trade.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Barriers to Export Trade.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Barriers to Export Trade.

Case file, illustrative. Carried forward. Meghna and Sons Limited is a company (since 1 April 2024). The figures here use an assumed rate of Tk 120 for one US dollar, chosen only for this illustration. Import: on 3 March 2025 the company opened a letter of credit for 1,500 English-language books from a publisher in the United Kingdom, invoice value US\$ 6,000 (Tk 720,000: 6,000 x 120). The goods were shipped on 28 March 2025 under a bill of lading of that date and reached Chattogram on 29 April 2025. Customs duty and taxes were Tk 108,000 (15% of 720,000) and the bank's charges on the letter of credit were Tk 7,200 (1% of 720,000). Landed cost Tk 835,200 (720,000 + 108,000 + 7,200), which is Tk 556.80 a book (835,200 / 1,500). Export: in 2025 the company also sold 200 Bangla books to a bookseller in London, invoice value US\$ 2,000 (Tk 240,000: 2,000 x 120). Balance of trade for the company's goods: 240,000 - 720,000 = minus Tk 480,000, a deficit. Invisible trade: marine insurance paid to

Customs duty. a tax charged on goods when they cross a national border

The definition gives the boundary of customs duty before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

7.R5 a farmers' society sells its crop for Tk 600,000 against Tk 520,000 if each farmer sold alone and has 40 members, so find the gain per member and say what the members might do with a surplus

PAUSE AND CHECK 7.P1 after the principles, and after the passage on sharing surplus

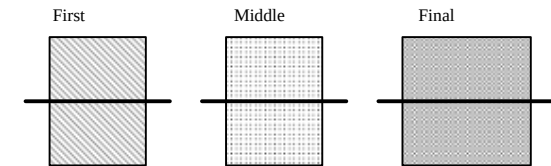


FIG. 7.1. members at the base voting in a general meeting, which elects a managing committee, which hires a manager; a second arrow shows surplus flowing back to members by their purchases

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 5, 'Partnership', section 5.1 'The Idea and Types of Partnership' — a small group owning together; Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares' — the contrast of votes by member and votes by share. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Measuring Trade Between Nations.

* * *

Before moving on. Measuring Trade Between Nations can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

10.3 EXPORT AND IMPORT PROCEDURE AND DOCUMENTS

Suppose you are looking at a business that must make a decision about export and import procedure and documents. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Import** means a good or service bought from a seller in another country. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Balance of trade** means the value of a country's visible exports minus the value of its visible imports. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Charter party** means the contract by which the owner of a ship hires the whole ship, or part of it, to another business. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Export and Import Procedure and Documents is what the export and import procedure from first enquiry to payment and customs clearance changes in an ordinary business decision.

The answer begins with the definition: The export and import procedure from first enquiry to payment and customs clearance. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Export and Import Procedure and Documents is what the main documents in foreign trade, including the bill of lading and the charter party changes in an ordinary business decision.

The answer begins with the definition: The main documents in foreign trade, including the bill of lading and the charter party. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Export and Import Procedure and Documents begins with a concrete question before the rule is stated.

Import. a good or service bought from a seller in another country
The definition gives the boundary of import before the example is applied.

Balance of trade. the value of a country's visible exports minus the value of its visible imports
The definition gives the boundary of balance of trade before the example is applied.

Charter party. the contract by which the owner of a ship hires the whole ship, or part of it, to another business
The definition gives the boundary of charter party before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

Earlier ideas needed for this chapter are named before they are used.

Meaning, Need and Importance begins with a concrete question before the rule is stated.

State enterprise. a business owned and run by the government, set up to serve the public or to earn money for the state

The definition gives the boundary of state enterprise before the example is applied.

Monopoly. a market in which only one seller supplies a good or service, so customers have no choice

The definition gives the boundary of monopoly before the example is applied.

Government company. a company, formed under company law, in which the government owns most or all of the shares

The definition gives the boundary of government company before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 4, 'Ways to Own a Business, and the Sole Proprietor', section 4.1 'Why the Form of Ownership Matters'; Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares'

8.1 MEANING, NEED AND IMPORTANCE

Suppose you are looking at a business that must make a decision about meaning, need and importance. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **State enterprise** means a business owned and run by the government, set up to serve the public or to earn money for the state. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Monopoly** means a market in which only one seller supplies a good or service, so customers have no choice. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Government company** means a company, formed under company law, in which the government owns most or all of the shares. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Meaning, Need and Importance is what the state enterprise, the public sector and the reasons governments run businesses, including the fields where it fits changes in an ordinary business decision.

The answer begins with the definition: The state enterprise, the public sector and the reasons governments run businesses, including the fields where it fits. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Meaning, Need and Importance is what nationalisation, monopoly and the case for and against state ownership changes in an ordinary business decision.

The answer begins with the definition: Nationalisation, monopoly and the case for and against state ownership. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Meaning, Need and Importance.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control

different business meaning. This is the point to carry into the next example in Why Nations Trade, and Why It Matters.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Why Nations Trade, and Why It Matters.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Why Nations Trade, and Why It Matters.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Why Nations Trade, and Why It Matters.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Why Nations Trade, and Why It Matters.

Case file, illustrative. Carried forward. Meghna and Sons Limited is a company (since 1 April 2024). The figures here use an assumed rate of Tk 120 for one US dollar, chosen only for this illustration. Import: on 3 March 2025 the company opened a letter of credit for 1,500 English-language books from a publisher in the United Kingdom, invoice value US\$ 6,000 (Tk 720,000: 6,000 x 120). The goods were shipped on 28 March 2025 under a bill of lading of that date and reached Chattogram on 29 April 2025. Customs duty and taxes were Tk 108,000 (15% of 720,000) and the bank's charges on the letter of credit were Tk 7,200 (1% of 720,000). Landed cost Tk 835,200 (720,000 + 108,000 + 7,200), which is Tk 556.80 a book (835,200 / 1,500). Export: in 2025 the company also sold 200 Bangla books to a bookseller in London, invoice value US\$ 2,000 (Tk 240,000: 2,000 x 120). Balance of trade for the company's goods: 240,000 - 720,000 = minus Tk 480,000, a deficit. Invisible trade: marine insurance paid to a foreign insurer US\$ 150 (Tk 18,000: 150 x 120), so goods and services together show a deficit of Tk 498,000 (480,000 + 18,000).

* * *

Before moving on. Why Nations Trade, and Why It Matters can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

10.2 MEASURING TRADE BETWEEN NATIONS

Suppose you are looking at a business that must make a decision about measuring trade between nations. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Measuring Trade Between Nations begins with a concrete question before the rule is stated.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

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The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Performance and Reform begins with a concrete question before the rule is stated.

The answer begins with the definition: Departmental undertaking, public corporation and government company compared. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Forms of State Enterprise is what public utilities and joint ventures with private businesses changes in an ordinary business decision.

The answer begins with the definition: Public utilities and joint ventures with private businesses. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Forms of State Enterprise.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Forms of State Enterprise.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Forms of State Enterprise.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Forms of State Enterprise.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Forms of State Enterprise.

* * *

Before moving on. Forms of State Enterprise can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

8.3 PERFORMANCE AND REFORM

Suppose you are looking at a business that must make a decision about performance and reform. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

* * *

The section recap gathers the main point before the next section.

The rule becomes more useful when the surrounding conditions are made explicit.

A second test is to ask what the idea does not include.

The principle can also be viewed from different positions.

A final application should return to the evidence.

The reader can test the rule by changing one fact at a time.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

Before moving on. Performance and Reform can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

A business decision is affected by the setting in which it is made. The same form of ownership, resource choice, responsibility, or market arrangement can have different consequences when the people, law, money, or purpose changes. The reader should therefore state the relevant conditions before applying the rule. This is not an extra complication; it is part of using the definition accurately.

Definitions are useful because they separate one idea from another. A supplier is not the same as an investor, a shareholder is not the same as a manager, and a business decision is not the same as its eventual result. When two terms appear together, ask what question each term answers. That question often reveals the boundary more quickly than memorising a longer description.

An owner may focus on control and risk. A manager may focus on workable procedures. An employee may focus on duties and conditions. A customer may focus on price, quality, and service. These viewpoints do not change the definition of a term. They help the reader see why the same business arrangement can matter to several groups at once.

Before accepting a conclusion, identify the figures, dates, people, and decisions that support it. Then separate those facts from assumptions. If the evidence is incomplete, the conclusion should remain limited to what the evidence supports. This habit is especially important when a business case crosses different forms of ownership, institutions, countries, or periods.

If one amount, person, purpose, or condition changes, apply the same definition again. The result may stay the same or it may change. What matters is that the reader can identify the fact that caused the change and explain the connection rather than relying on the appearance of the example.

WORKED CASE

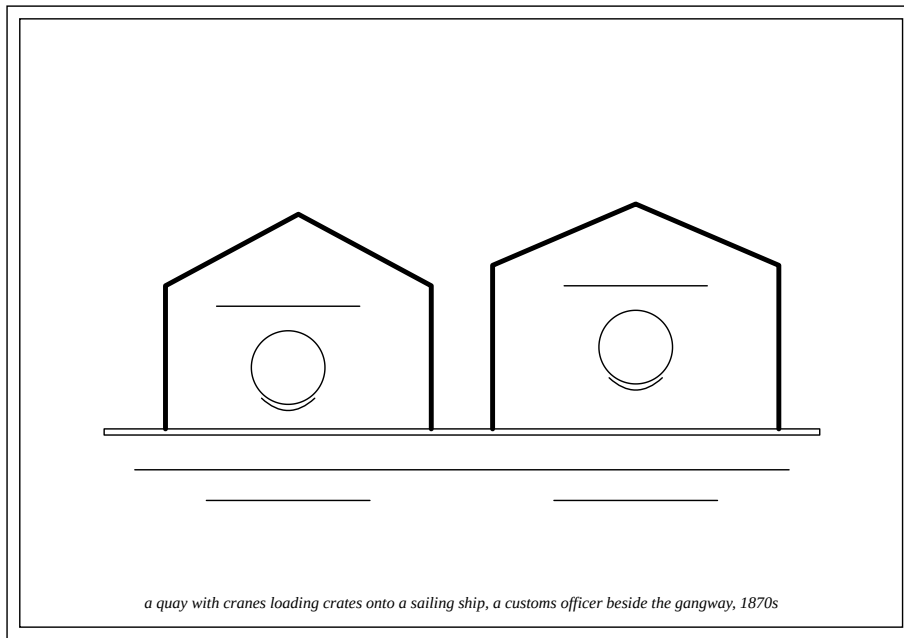
Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. none

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. **Conclusion.** The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.



CHAPTER X

Foreign Trade: Measuring It and Doing It

How does the business idea become a workable decision?



Explain why nations trade, how trade between nations is measured, and how an export or import is carried out, with the documents and barriers involved. The chapter builds the idea from ordinary experience to business practice.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

9.T1 tell ordinary from preference shares on vote, dividend and risk

9.T2 separate the primary from the secondary market with an example of each

9.T3 describe the steps by which a company offers shares to the public

9.T4 list the main functions of a stock exchange

9.T5 an investor has Tk 100,000, wants steady income and dislikes risk, so choose between the two kinds of share and explain

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

Most errors arise when a related idea is treated as if it were identical.

IN HISTORY

The Buttonwood Agreement signed by 24 brokers in New York on 17 May 1792, which began the organised trading that became the New York Stock Exchange. Search hint: Buttonwood Agreement 1792 New York brokers.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The historical case shows how the chapter's ideas appeared in a documented setting.

REVIEW QUESTIONS

9.R1 tell ordinary from preference shares on vote, dividend and risk

9.R2 separate the primary from the secondary market with an example of each

9.R3 describe the steps by which a company offers shares to the public

9.R4 list the main functions of a stock exchange

9.R5 an investor has Tk 100,000, wants steady income and dislikes risk, so choose between the two kinds of share and explain

PAUSE AND CHECK 9.P1 after the two kinds of share, and after the split between the primary and secondary markets

The review questions return to the same ideas in a direct form.

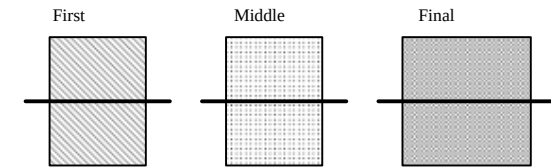


FIG. 8.1. a tree with state enterprise at the top and three branches: run as a government office, set up as a public corporation, formed as a government-owned company

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares' — a government company is a company in law; Chapter 7, 'Cooperative Societies', section 7.1 'The Idea and Principles of Cooperation' — another form that does not exist only for private profit. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

The word **Share market** means the whole system of buying and selling shares, both when they are first issued and afterwards. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Initial public offering** means the first time a company invites the public to buy its shares. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Share price index** means a single number that shows how the prices of a chosen group of shares have moved together. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Stock Exchanges and the Dhaka Stock Exchange is what the stock exchange and the functions of the dhaka stock exchange changes in an ordinary business decision.

The answer begins with the definition: The stock exchange and the functions of the Dhaka Stock Exchange. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Stock Exchanges and the Dhaka Stock Exchange is what brokers, share price indices and the regulator's role changes in an ordinary business decision.

The answer begins with the definition: Brokers, share price indices and the regulator's role. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Stock Exchanges and the Dhaka Stock Exchange.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Stock Exchanges and the Dhaka Stock Exchange.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Stock Exchanges and the Dhaka Stock Exchange.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters,

Share market. the whole system of buying and selling shares, both when they are first issued and afterwards

The definition gives the boundary of share market before the example is applied.

Initial public offering. the first time a company invites the public to buy its shares

The definition gives the boundary of initial public offering before the example is applied.

Share price index. a single number that shows how the prices of a chosen group of shares have moved together

The definition gives the boundary of share price index before the example is applied.

The paragraph connects the idea to a practical business question.

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The section keeps the distinction practical and testable.

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The section keeps the distinction practical and testable.

Earlier ideas needed for this chapter are named before they are used.

Shares and Their Kinds begins with a concrete question before the rule is stated.

Ordinary share. a share whose holder votes at meetings and receives a dividend that rises and falls with the company's profit

The definition gives the boundary of ordinary share before the example is applied.

Primary market. the part of the share market where a company sells new shares directly to investors for the first time

The definition gives the boundary of primary market before the example is applied.

Stock exchange. an organised market with rules where approved members trade company shares and other securities

The definition gives the boundary of stock exchange before the example is applied.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 6, 'Joint Stock Company', sections 6.1 'The Company and Its Shares', 6.2 'Private and Public Companies' and 6.3 'Forming a Company and Issuing a Prospectus'

9.1 SHARES AND THEIR KINDS

Suppose you are looking at a business that must make a decision about shares and their kinds. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Ordinary share** means a share whose holder votes at meetings and receives a dividend that rises and falls with the company's profit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Primary market** means the part of the share market where a company sells new shares directly to investors for the first time. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Stock exchange** means an organised market with rules where approved members trade company shares and other securities. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Shares and Their Kinds is what ordinary and preference shares, and which kind suits which investor changes in an ordinary business decision.

The answer begins with the definition: Ordinary and preference shares, and which kind suits which investor. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Shares and Their Kinds is what the share market, with its primary and secondary parts changes in an ordinary business decision.

The answer begins with the definition: The share market, with its primary and secondary parts. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Shares and Their Kinds.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about

ANSWERS TO QUESTIONS

CHAPTER I · WHAT BUSINESS IS, DOES AND AIMS FOR

1.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

1.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

1.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

1.t4 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

1.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

1.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER II · RESOURCES, LOCATION AND ENVIRONMENT

2.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

2.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

2.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

2.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

2.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

2.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

2.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

2.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

2.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

Earlier ideas needed for this chapter are named before they are used.

What a Multinational Corporation Is begins with a concrete question before the rule is stated.

Multinational corporation. a company that owns and runs business operations in two or more countries

The definition gives the boundary of multinational corporation before the example is applied.

Subsidiary. a company that is owned or controlled by another, larger company called the parent

The definition gives the boundary of subsidiary before the example is applied.

Third-country national. an employee of a multinational who comes from neither its home nor its host country

The definition gives the boundary of third-country national before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares'; Chapter 10, 'Foreign Trade: Measuring It and Doing It', section 10.1 'Why Nations Trade, and Why It Matters'

11.1 WHAT A MULTINATIONAL CORPORATION IS

Suppose you are looking at a business that must make a decision about what a multinational corporation is. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Multinational corporation** means a company that owns and runs business operations in two or more countries. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Subsidiary** means a company that is owned or controlled by another, larger company called the parent. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Third-country national** means an employee of a multinational who comes from neither its home nor its host country. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in What a Multinational Corporation Is is what the multinational corporation and the reasons firms set up in other countries changes in an ordinary business decision.

The answer begins with the definition: The multinational corporation and the reasons firms set up in other countries. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in What a Multinational Corporation Is is what home country, host country and subsidiary changes in an ordinary business decision.

The answer begins with the definition: Home country, host country and subsidiary. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in What a Multinational Corporation Is.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This

A small business example can make the boundary easier to recognise. (*Chapter IX*)

Subsidiary. a company that is owned or controlled by another, larger company called the parent. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Supplier. a person or business that sells the goods, materials or services that another business needs. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter III*)

Surplus. the money left over after a cooperative pays its costs, which it shares or keeps for the members. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Technology transfer. the passing of knowledge, machines and methods from one country or firm to another. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Third-country national. an employee of a multinational who comes from neither its home nor its host country. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Trade. the buying and selling of goods, either to make a profit or to supply what others want. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Trade licence. official permission, given by a local authority, to carry on a particular business in a particular place. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Unlimited liability. the owner must pay all the business's debts, using personal property if the business cannot. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Vertical integration. joining businesses at different stages of the chain, such as a printer, a wholesaler and a shop. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Visible trade. trade in goods that can be seen and counted at a port, such as books, cloth and machines. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Want. something a person would like to have but could live without, such as a new phone or a holiday. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Parent-country national. an employee of a multinational who comes from the country of its headquarters

The definition gives the boundary of parent-country national before the example is applied.

Technology transfer. the passing of knowledge, machines and methods from one country or firm to another

The definition gives the boundary of technology transfer before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

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The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

The word **Parent-country national** means an employee of a multinational who comes from the country of its headquarters. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Technology transfer** means the passing of knowledge, machines and methods from one country or firm to another. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in People in a Multinational is what parent-country, host-country and third-country nationals in a multinational's staff changes in an ordinary business decision.

The answer begins with the definition: Parent-country, host-country and third-country nationals in a multinational's staff. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in People in a Multinational.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in People in a Multinational.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in People in a Multinational.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in People in a Multinational.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in People in a Multinational.

* * *

Before moving on. People in a Multinational can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

Preference share. a share whose holder is paid a fixed dividend before ordinary shareholders but usually has no vote. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter IX)

Primary market. the part of the share market where a company sells new shares directly to investors for the first time. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter IX)

Private company. a company that limits who may hold its shares and may not invite the public to buy them. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter VI)

Privatisation. the sale or handing over of a state enterprise to private owners. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter VIII)

Producer cooperative. a society in which members make goods together and share the work and the reward. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter VII)

Profit. the money left over when the costs of running a business are taken away from what it earns. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter I)

Prospectus. the document by which a public company invites the public to buy its shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter VI)

Public company. a company that may invite the public to buy its shares and whose shares can be freely traded. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter VI)

Public corporation. a state business set up by a special law, with its own legal identity and some freedom to act. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter VIII)

Public sector. all the businesses and organisations that the government owns or controls. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter VIII)

Public utility. a service that everyone needs and that is hard to supply through competition, such as water or electricity. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter VIII)

Ratio. a comparison of two quantities using division. (Appendix A)

Risk. the chance that a business will earn less than it hoped, or lose money, because the future is uncertain. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter I)

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

The rule becomes more useful when the surrounding conditions are made explicit.

A second test is to ask what the idea does not include.

The principle can also be viewed from different positions.

A final application should return to the evidence.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Why Multinationals Matter, and Their Problems.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Why Multinationals Matter, and Their Problems.

Case file, illustrative. Case in this chapter is an illustrative multinational. Northwind Stationery plc (fictional) is headquartered in the United Kingdom and began operating through a subsidiary in Dhaka, Northwind Stationery Bangladesh Limited, on 5 May 2024. The parent invested US\$ 1,000,000, Tk 120,000,000 at the illustration's assumed rate of Tk 120 a dollar (1,000,000 x 120). The subsidiary has 90 staff: 3 parent-country nationals from the United Kingdom, 2 third-country nationals from India, and 85 host-country nationals from Bangladesh (3 + 2 + 85 = 90). Host-country nationals are 94.4% of staff (85 / 90). From 1 September 2025 Meghna and Sons Limited has sold Northwind notebooks, and its purchases from the subsidiary between 1 September and 31 December 2025 were Tk 180,000.

* * *

Before moving on. Why Multinationals Matter, and Their Problems can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

A business decision is affected by the setting in which it is made. The same form of ownership, resource choice, responsibility, or market arrangement can have different consequences when the people, law, money, or purpose changes. The reader should therefore state the relevant conditions before applying the rule. This is not an extra complication; it is part of using the definition accurately.

Definitions are useful because they separate one idea from another. A supplier is not the same as an investor, a shareholder is not the same as a manager, and a business decision is not the same as its eventual result. When two terms appear together, ask what question each term answers. That question often reveals the boundary more quickly than memorising a longer description.

An owner may focus on control and risk. A manager may focus on workable procedures. An employee may focus on duties and conditions. A customer may focus on price, quality, and service. These viewpoints do not change the definition of a term. They help the reader see why the same business arrangement can matter to several groups at once.

Before accepting a conclusion, identify the figures, dates, people, and decisions that support it. Then separate those facts from assumptions. If the evidence is incomplete, the conclusion should remain limited to what the evidence supports. This habit is especially important when a business case crosses different forms of ownership, institutions, countries, or periods.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

A small business example can make the boundary easier to recognise. (*Chapter II*)

Land. all natural resources and the ground itself, including soil, water, minerals and the site of a shop. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Legal person. an organisation that the law treats as separate from its owners, able to own property and make contracts. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Letter of credit. a bank's written promise to pay the exporter once agreed documents are shown. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Liability. the duty to pay what the business owes, whether to a supplier, a lender or an employee. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Limited liability. the owner can lose only the money put into the business, and personal property stays safe. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IV*)

Location. the place where a business carries out its work, chosen from the available sites. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Marketing cooperative. a society that gathers members' products, such as crops, and sells them for a better price. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Memorandum of association. the founding document that states a company's name, aims, home and capital. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Merger. the joining of two or more businesses into one, with the owners of each becoming owners of the new business. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Monopoly. a market in which only one seller supplies a good or service, so customers have no choice. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Multinational corporation. a company that owns and runs business operations in two or more countries. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Nationalisation. the act of a government taking over a privately owned business and making it state property. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

11.R1 define multinational corporation and name three reasons a firm becomes one

11.R2 tell home country from host country with an example

11.R3 explain the three groups of staff and why a multinational mixes them

11.R4 list two gains and two problems for a host country

11.R5 a foreign factory will employ 400 local workers and train them, but may send most of its profit abroad and push local makers out, so weigh both sides and say what rules a government might set

PAUSE AND CHECK 11.P1 after the three groups of staff, and after the gains and problems

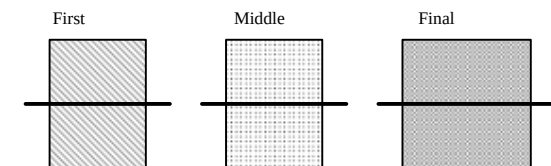


FIG. 11.1. a parent company in its home country with a subsidiary in a host country, and three groups of staff labelled by their country of origin

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 10, 'Foreign Trade: Measuring It and Doing It', section 10.1 'Why Nations Trade, and Why It Matters' — the gains from trade that multinationals extend; Chapter 12, 'Institutions and Business Combination', section 12.2 'Zones, Export Bodies and Others' — zones that attract overseas investors. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

Democratic control. the rule that each member has one vote, however many shares or how much business they bring. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Departmental undertaking. a state business run as a part of a government office and funded from its budget. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Dissolution. the ending of the partnership between the partners, or of the whole business, with its affairs settled. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter V*)

Dividend. the part of a company's profit that is paid out to its shareholders. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Entrepreneur. the person who combines the other resources, takes the risk and organises a business to meet a need. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Environment. everything outside and around a business that can affect it, and everything inside that it controls. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Exchange. giving one thing and receiving another in return, whether goods, services or money. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Export. a good or service sold to a buyer in another country. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Export processing zone. a designated area with special facilities and incentives, set up to attract factories that make goods for export. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

External environment. the forces outside the business that it cannot control but must respond to. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Factors of production. the resources a business must combine to make or sell anything: land, labour, capital and the entrepreneur. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Foreign trade. the buying and selling of goods and services between people or businesses in different countries. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Good. a physical item that can be touched and owned, such as a book, a chair or a bag of rice. The term should be used only in this stated sense in the chapter.

Earlier ideas needed for this chapter are named before they are used.

Institutions That Promote Business begins with a concrete question before the rule is stated.

Securities regulator. a public body that makes and enforces rules for the share market in order to protect investors

The definition gives the boundary of securities regulator before the example is applied.

Cartel. a loose agreement among businesses that stay separate but fix prices or output together

The definition gives the boundary of cartel before the example is applied.

Vertical integration. joining businesses at different stages of the chain, such as a printer, a wholesaler and a shop

The definition gives the boundary of vertical integration before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares'; Chapter 9, 'The Share Market', section 9.3 'Stock Exchanges and the Dhaka Stock Exchange'

12.1 INSTITUTIONS THAT PROMOTE BUSINESS

Suppose you are looking at a business that must make a decision about institutions that promote business. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Securities regulator** means a public body that makes and enforces rules for the share market in order to protect investors. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Cartel** means a loose agreement among businesses that stay separate but fix prices or output together. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Vertical integration** means joining businesses at different stages of the chain, such as a printer, a wholesaler and a shop. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Institutions That Promote Business is what the role of bodies that promote and regulate business, including the securities regulator changes in an ordinary business decision.

The answer begins with the definition: The role of bodies that promote and regulate business, including the securities regulator. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Institutions That Promote Business is what chambers of commerce and the national federation of chambers changes in an ordinary business decision.

The answer begins with the definition: Chambers of commerce and the national federation of chambers. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Institutions That Promote Business.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about

GLOSSARY

Active partner. a partner who takes a full part in running the business day to day. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter V*)

Articles of association. the rules for running the company inside, including meetings, directors and shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Authorised capital. the largest amount of share capital that a company is permitted to raise under its rules. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Average. a value found by combining quantities and dividing by their number. (*Appendix A*)

Balance of payments. the full record of money flowing into and out of a country over a period for all kinds of dealings. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Balance of trade. the value of a country's visible exports minus the value of its visible imports. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Bill of lading. a receipt and contract issued by a shipping company for goods it has accepted for carriage. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Board of directors. the group chosen by shareholders to guide the company and appoint its senior managers. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Broker. a licensed person or firm that buys and sells shares for clients and earns a fee. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IX*)

Business. an activity that supplies goods or services to customers in the hope of earning a profit. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Business combination. two or more businesses joining together, by agreement or by one taking over another, to act as a larger unit. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Business ethics. the standards of right and wrong that guide how a business treats people and makes decisions. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter III*)

Capital. the money and the man-made means of production, such as tools, stock and buildings, used to earn more. The term should be used only in this stated sense in the chapter.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

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The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

The useful question in Zones, Export Bodies and Others is what export processing zones and the authority that runs them changes in an ordinary business decision.

The answer begins with the definition: Export processing zones and the authority that runs them. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Zones, Export Bodies and Others is what the export promotion body, the trade corporation and other support bodies (the writer confirms each body's full name and role) changes in an ordinary business decision.

The answer begins with the definition: The export promotion body, the trade corporation and other support bodies (the writer confirms each body's full name and role). This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Zones, Export Bodies and Others.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Zones, Export Bodies and Others.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Zones, Export Bodies and Others.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Zones, Export Bodies and Others.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Zones, Export Bodies and Others.

* * *

Before moving on. Zones, Export Bodies and Others can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

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When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

This is a reference check for applying the numerical rule safely.

This is a reference check for applying the numerical rule safely.

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This is a reference check for applying the numerical rule safely.

This is a reference check for applying the numerical rule safely.

This is a reference check for applying the numerical rule safely.

This is the point to carry into the next example in Forms of Business Combination.

* * *

Before moving on. Forms of Business Combination can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

12.4 OPPORTUNITIES AND THREATS

Suppose you are looking at a business that must make a decision about opportunities and threats. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Business combination** means two or more businesses joining together, by agreement or by one taking over another, to act as a larger unit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Horizontal integration** means joining businesses that sell the same kind of good or service at the same stage of the chain. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Opportunities and Threats is what why businesses combine, and the opportunities and threats that follow changes in an ordinary business decision.

The answer begins with the definition: Why businesses combine, and the opportunities and threats that follow. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Opportunities and Threats.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Opportunities and Threats.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Opportunities and Threats.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters,

The section recap gathers the main point before the next section.

Opportunities and Threats begins with a concrete question before the rule is stated.

Business combination. two or more businesses joining together, by agreement or by one taking over another, to act as a larger unit

The definition gives the boundary of business combination before the example is applied.

Horizontal integration. joining businesses that sell the same kind of good or service at the same stage of the chain

The definition gives the boundary of horizontal integration before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

Maths You Will Use



These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

The review questions return to the same ideas in a direct form.

THINK IT THROUGH

12.T1 say what a chamber of commerce does for its members

12.T2 describe the purpose of an export processing zone

12.T3 compare a cartel, a holding company and a merger

12.T4 tell horizontal from vertical integration with an example of each

12.T5 three bakeries each earning Tk 60,000 a month consider joining, so list two opportunities and two threats and decide whether to merge or only cooperate

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

The Standard Oil Trust of 1882 in the United States, the Sherman Antitrust Act of 1890, and the order of 1911 that broke the company into parts. Search hint: Standard Oil trust 1882 Sherman Act 1890 breakup 1911.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

12.R1 say what a chamber of commerce does for its members

12.R2 describe the purpose of an export processing zone

12.R3 compare a cartel, a holding company and a merger

12.R4 tell horizontal from vertical integration with an example of each

12.R5 three bakeries each earning Tk 60,000 a month consider joining, so list two opportunities and two threats and decide whether to merge or only cooperate

PAUSE AND CHECK 12.P1 after the securities regulator, and after the forms of combination

2.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

2.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER III · SOCIAL RESPONSIBILITY OF BUSINESS

3.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.t5 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER IV · WAYS TO OWN A BUSINESS, AND THE SOLE PROPRIETOR

4.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

4.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

4.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

4.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

4.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

4.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

4.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

4.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

6.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

6.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

6.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

6.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER VII · COOPERATIVE SOCIETIES

7.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

7.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

7.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

7.t4 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

7.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

7.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

7.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

7.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

7.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

7.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

7.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER VIII · STATE ENTERPRISE

8.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

8.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

8.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

8.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

8.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

8.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

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10.t6 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

10.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r6 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER XI · MULTINATIONAL CORPORATIONS

11.t1 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

11.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

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11.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER XII · INSTITUTIONS AND BUSINESS COMBINATION

12.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

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